

March 9, 2026

Senator Paul Bailey
Chair, Senate Commerce
and Labor Committee
425 Rep. John Lewis Way N.
Suite 736 Cordell Hull Bldg.
Nashville, TN 37243

Senator Brent Taylor
Vice Chair, Senate Commerce
and Labor Committee
425 Rep. John Lewis Way N.
Suite 714 Cordell Hull Bldg.
Nashville, TN 37243

Senator Steve Southerland
2nd Vice Chair, Senate Commerce
and Labor Committee
425 Rep. John Lewis Way N.
Suite 712 Cordell Hull Bldg.
Nashville, TN 37243

Senator London Lamar
425 Rep. John Lewis Way N.
Suite 762 Cordell Hull Bldg.
Nashville, TN 37243

RE: Letter in Opposition to Tennessee SB 1998

Dear Chair Bailey, Vice Chair Taylor, 2nd Vice Chair Southerland, and Senator Lamar:

On behalf of the advertising industry, we write to oppose Tennessee SB 1998.¹ We provide this letter to offer our non-exhaustive list of concerns about this bill. SB 1998 would significantly limit Tennessee consumers' access to discounts and special pricing by prohibiting food retail establishments from using "personalized algorithmic pricing" and would also create a new private right of action. Accordingly, we ask you to decline to advance the bill as drafted out of the Senate Commerce and Labor Committee ("Committee").

As the nation's leading advertising and marketing trade associations, we collectively represent thousands of companies across the country. These companies range from small businesses to household brands, advertising agencies, and technology providers. Our combined membership includes more than 2,000 companies that power the commercial Internet, which accounted for nearly 20 percent of total U.S. gross domestic product ("GDP") in 2024.² By one estimate, approximately 19.0% of Tennessee jobs in 2024 were related to the ad-subsidized Internet, a share projected to increase to 20.4% by 2029.³ Our group has more than a decade's worth of hands-on experience it can bring to bear on matters related to consumer privacy and controls. We would welcome the opportunity to engage with the Committee further on the points we discuss in this letter.

¹ Tennessee SB 1998 (2026 Session), located [here](#) (hereinafter, "SB 1998").

² S&P Global, THE ECONOMIC IMPACT OF ADVERTISING ON THE US ECONOMY, 2024-2029 at 4 (Aug. 2025), located at https://theadcoalition.com/wp-content/uploads/2025/08/TAC_SP-Global-Final-Report_August-2025.pdf.

³ *Id.* at 15-16.

I. SB 1998 would significantly limit discounts and special pricing offers that benefit Tennesseans and the economy.

SB 1998, unfortunately, would not preserve the value of discounts to Tennesseans, resulting in higher prices for consumers. Under the bill, a food retail establishment may not use “personalized algorithmic pricing,” a term defined to include “dynamic pricing” or “surveillance pricing,” for any reason.⁴ Specifically, the term surveillance pricing would mean “offering or setting pricing for a good service to a specific consumer or group of consumers, based in whole or part, on covered information collected through electronic surveillance technology.”⁵ In practice, this restriction would likely prohibit consumer-friendly pricing practices that Tennessee residents encounter and value every day.

As defined, these terms would effectively impose a direct ban on the foundational elements of digital advertising; namely, the ability to reach large audiences of devices to target advertisements based on shared interests or attributes. SB 1998 appears to single out food retail establishments by regulating their digital advertising practices to a categorical prohibition, while all other speakers of content in Tennessee are subject to opt-out for targeting advertising provision under the Tennessee Information Privacy Act (“TIPA”).⁶ This provision would directly conflict with TIPA and would likely violate the First Amendment of the U.S. Constitution.

In addition, while SB 1998 excludes certain practices from its definition of “dynamic pricing,” including promotional pricing offers, loyalty program benefits, or other temporary discounts or pricing changes intended to retain existing customers, those exclusions do not meaningfully resolve the problem.⁷ First, the bill would still significantly restrict the availability of discounts and special pricing for ordinary consumers who are *not* enrolled in a loyalty program and for whom the food retail establishment is not specifically seeking to encourage continued patronage. Second, and more importantly, those exclusions do not apply at all to “surveillance pricing,” which is separately defined and also flatly prohibited under the bill. As a result, promotional pricing, loyalty program benefits, and temporary discounts that are expressly excluded when categorized as “dynamic pricing” may nonetheless be prohibited when the same conduct is categorized as “surveillance pricing.”

In addition, the bill provides an exception for food retail establishments to offer consumer discounts, promotional pricing, or loyalty benefits based on a customer’s previous purchase history that is limited to the ban on using electronic shelving labels or other digital shelf display technology.⁸ This exception does *not* appear to apply to the prohibition on use of personalized algorithmic pricing. This internal inconsistency creates substantial uncertainty for grocery store

⁴ SB 1998 Sec. 1 § 47-18-3503(b)(1).

⁵ SB 1998 Sec. 1 § 47-18-3502(12).

⁶ Tenn. Code Ann. § 47-18-3203(a)(2)(E).

⁷ SB 1998 Sec. 1 § 47-18-3502(5)(B).

⁸ SB 1998 Sec. 1 § 47-18-3503(a)(2).

retailers and risks chilling consumer-friendly pricing practices that the bill does not appear intended to ban.

II. SB 1998 would establish a private right of action, which is an inappropriate form of enforcement for the legislation, and directly contradicts the approach to privacy enforcement in the TIPA.

As presently drafted, SB 1998 would create a private right of action for any violation of its terms.⁹ Including a private right of action in SB 1998 would create significant confusion regarding the enforcement mechanisms available for activity that is already regulated under TIPA.

SB 1998 should be updated to clarify that it does not create a private right of action under any law. In addition to creating conflicts and confusion with the enforcement structure under TIPA, we strongly believe a private right of action would be an inappropriate enforcement mechanism for this bill. Instead, enforcement should be vested with the Attorney General (“AG”) alone, because such an enforcement structure would lead to stronger outcomes for Tennessee residents while better enabling businesses to allocate resources to developing processes, procedures, and plans to facilitate compliance with the bill’s new requirements. AG enforcement, instead of a private right of action, is in the best interests of consumers and businesses alike.

The possibility of a private right of action in SB 1998 would create a complex and flawed compliance system without tangible benefits for consumers. Allowing private actions will flood Tennessee’s courts with frivolous lawsuits driven by opportunistic trial lawyers searching for technical violations, rather than focusing on actual consumer harm.¹⁰ Private right of action provisions are completely divorced from any connection to actual consumer harm and provide consumers little by way of protection from detrimental data practices.

Additionally, a private right of action would have a chilling effect on Tennessee’s economy by creating the threat of steep and unforeseeable costs for companies that are good actors but inadvertently fail to conform to technical provisions of law. Private litigant enforcement provisions do not effectively address consumer protection concerns or deter undesired business conduct. They expose businesses to extraordinary and potentially enterprise-threatening costs for technical violations of law rather than drive systemic and helpful changes to business practices. A private right of action would also encumber businesses’ attempts to innovate by threatening companies with expensive litigation costs, especially if those companies are visionaries striving to develop transformative new technologies. The threat of an expensive

⁹ SB 1998 Sec. 1, § 47-18-3506.

¹⁰ A select few attorneys benefit disproportionately from private right of action enforcement mechanisms in a way that dwarfs the benefits that accrue to the consumers who are the basis for the claims. For example, a study of 3,121 private actions under the Telephone Consumer Protection Act (“TCPA”) showed that approximately 60 percent of TCPA lawsuits were brought by just forty-four law firms. Amounts paid out to consumers under such lawsuits proved to be insignificant, as only 4 to 8 percent of eligible claim members made themselves available for compensation from the settlement funds. U.S. Chamber Institute for Legal Reform, *TCPA Litigation Sprawl* at 2, 4, 11-15 (Aug. 2017), located [here](#).

lawsuit may force smaller companies to agree to settle claims against them, even if they are convinced they are without merit.¹¹

Beyond the staggering cost to Tennessee businesses, the resulting snarl of litigation could create a chaotic and inconsistent enforcement framework with conflicting requirements based on differing court outcomes. Overall, the possibility of a private right of action would serve as a windfall to the plaintiff's bar without focusing on the business practices that actually harm consumers. We therefore encourage the Committee to clarify that SB 1998 does not create a private right of action under any law and vests enforcement authority with the AG alone.

* * *

We respectfully ask the Committee not to advance SB 1998, as its provisions would negatively affect both Tennessee businesses and consumers alike. Rather than strengthening consumer protections, the bill risks higher prices, reduced choice, and fewer opportunities for consumers to benefit from discounts and incentives.

Thank you in advance for your consideration of this letter.

Sincerely,

Christopher Oswald
EVP for Law, Ethics & Govt. Relations
Association of National Advertisers
202-296-1883

Alison Pepper
EVP, Government Relations & Sustainability
American Association of Advertising Agencies, 4As
202-355-4564

Clark Rector
Executive VP–Government Affairs
American Advertising Federation
202-898-0089

Lou Mastria
CEO
Digital Advertising Alliance
347-770-0322

CC: Members of the Tennessee Senate Commerce and Labor Committee

Mike Signorelli, Venable LLP
Allie Monticollo, Venable LLP
Matthew Stern, Venable LLP

¹¹ For instance, in the early 2000s, private actions under California's Unfair Competition Law ("UCL") "launched an unending attack on businesses all over the state." American Tort Reform Foundation, *State Consumer Protection Laws Unhinged: It's Time to Restore Sanity to the Litigation* at 8 (2003), located [here](#). Consumers brought suits against homebuilders for abbreviating "APR" instead of spelling out "Annual Percentage Rate" in advertisements and sued travel agents for not posting their phone numbers on websites, in addition to initiating myriad other frivolous lawsuits. These lawsuits disproportionately impacted small businesses, ultimately resulting in citizens voting to pass Proposition 64 in 2004 to stem the abuse of the state's broad private right of action under the UCL. *Id.*